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Date:	2 December 2025
Report title:	Policy and Resources: Revenue Monitoring Report 2025-26
Cabinet Member:	Councillor Stephanie Cryan, Equalities, Democracy and Finance
Ward(s) or groups affected:	All
Classification:	Open
Reason for lateness (if applicable):	N/a

FOREWORD – COUNCILLOR STEPHANIE CRYAN, CABINET MEMBER FOR EQUALITIES, DEMOCRACY AND FINANCE

This report sets out the month 6 financial position for the General Fund, Housing Revenue Account and the Dedicated Schools Grant for the 2025/2026 financial year.

We are predicting an overspend of £7.3m in the Housing Revenue Account, an improvement of £2.8m compared to month 4. These pressures are felt most acutely within housing repairs with a forecasted overspend of £5m, a £1.6m improvement on month 4.

The demand increase of maintaining an ageing housing stock and the new regulatory requirements for safety and compliance are the largest contributors to the overspend and there is rightly a focus on monitoring and reviewing spend to ensure agreed savings are delivered. As a result of the forecasted overspend we will be reviewing and refreshing the Housing Revenue Recovery Plan to ensure that we are correctly identifying any further cost reductions and savings to help reduce the gap and balance the budget by the end of this financial year.

The General Fund is forecast to have an overspend of £26.2m after the use of planned reserves. The pressures within the General Fund are mainly driven from the increasing costs and demands for temporary accommodation. We are though seeing new pressures within Children’s and Adults social care as a result of rising costs across the sector. Spend within No Recourse to Public Funds is also contributing to the pressures as well as the need to provide additional resources to the contact centre.

All departments continue to work hard to reduce costs, without impacting on service, to reduce the deficit but it is probable that we will need to use some unplanned reserves to balance the budget at the end of the financial year if the demand and costs for temporary accommodation and social care continues to increase

RECOMMENDATIONS

Recommendations for the Cabinet to note

1. The Housing Revenue Account (HRA) forecast of an adverse variance of £7.3m

2. The adverse variance of £26.2m forecast for the General Fund (GF) in 2025-26.

3. The key adverse variations and budget pressures and mitigating actions underlying the position:

    - Housing Revenue Account (paragraphs 13-22)
    - General Fund (paragraphs 23-88)
    - Demand pressures in temporary accommodation (TA) (Housing)
    - Increased demand in adult's and children's social care (Children's and Adult's).

4. The update on the 2025-26 and 2026-27 departmental savings and transformational savings (paragraph 84-88)

5. The Dedicated Schools Grant (DSG) in-year balanced position (paragraphs 48-50).

REASONS FOR RECOMMENDATIONS

6. N/a

ALTERNATIVE OPTIONS CONSIDERED AND NOT RECOMMENDED

7. None considered as this is a revenue monitoring report for 2025-26.

POST DECISION IMPLEMENTATION

8. N/a

BACKGROUND INFORMATION

9. This report sets out the forecast position at month 6 for the Housing Revenue Account (HRA), General Fund (GF), Departmental and Transformation Savings and the Dedicated Schools Grant (DSG) for the

2025-26 financial year.

10. The council's general fund drew down £5.3m of reserves to balance the outturn in 2024-25. This was the first year in recent history that the council was unable to fully mitigate overspends by year end. The general fund forecast for 2025-26 at month 4 was an overspend position of £24.2m after the use of £6.2m of reserves. This report shows the forecast has deteriorated by £2m to £26.2m, after the use of £10.3m in reserves and including known mitigations.

11. The current Housing Revenue Account (HRA) forecast shows an adverse variance of £7.3m, an improvement of £2.8m compared to month 4, comprising a reduction in debt financing (£1.3m), as a direct result of substituting revenue funding for borrowing last year, and a reduction in tenant facing services (TFC) of (£1.7m), predominantly in repairs and maintenance, but offset by further negative movements of £0.2m in income.

12. The council agreed a balanced general fund budget on 25 February 2025 which included efficiencies, savings and additional income generation of £19m within the general fund for 2025-26. Performance on achieving these savings, and significant variances are included in the departmental narratives and in Appendix A.

KEY ISSUES FOR CONSIDERATION

<u>HOUSING REVENUE ACCOUNT (HRA)</u>

13. The council manages its housing stock through the statutory ring-fenced Housing Revenue Account. In 2024–25, the HRA achieved a £3.9m favourable outturn, driven by income windfalls, reduced debt financing and short-term cost reductions. This marked a significant improvement following the overspend incurred in 2023–24, which was the catalyst for the creation of the HRA Budget Recovery Board and the HRA Recovery Plan, to restore financial stability. Notwithstanding this achievement, the underlying financial position remains very challenging, requiring the delivery of savings to meet the agreed cash limits.

14. Key contributory factors include a four-year government-imposed rent reduction (2016-2020) and rent capping (2023-24), new unfunded regulatory and compliance burdens, macro-economic factors outside the council's control, i.e. rampant inflationary pressure and high interest rates. All of which have converged to create a perfect storm that materially undermines the financial stability of HRA's generally, and with the impact being particularly acute for Southwark given the scale, age and condition of its housing stock.

HRA Recovery Plan

15. The Recovery Plan is critical to securing the short and longer-term viability of the HRA and the broad principles and strategic measures required are set out below:

    - Enforcing cash limits for service operations.
    - Maximising capital receipts from asset and land sales to reduce borrowing.
    - Pausing select new build schemes to manage borrowing and interest costs.
    - Applying strict viability criteria to new developments.
    - Maintaining and gradually increasing HRA reserves.
    - Limiting and repaying borrowing for asset management programmes.
    - Enhancing procurement and contract management to improve value for money.
    - Containing capital financing costs within affordable levels, balancing service needs and priorities.

Financial Overview 2025-26

16. In line with the approach set out in the Recovery Plan, cash limited-service budgets for 2025-26 were set at a level to maximise the resources for front-line tenant facing services (£163.2m) and other housing services (£74.4m). The corollary being that there is less capacity retained centrally to dampen one-off financial shocks e.g. demand, volume, policy changes and new commitments than existed previously, making strict adherence to cash limits essential. The current forecast shows an adverse variance of £7.3m, an improvement of £2.8m compared to month 4, comprising a reduction in debt financing (£1.3m), as a direct result of substituting revenue funding for borrowing last year, and a reduction in tenant facing services (TFC) of (£1.7m), predominantly in repairs and maintenance, but offset by further negative movements of £0.2m in income. Table 1 refers.

Table 1 HRA position at Month 6

HRA P6 Summary Forecast 2025-26	Outturn 2024-25 £000	Revised Cash limit 2025-26 £000	P6 Forecast 2025-26 £000	Variance to Budget 2025-26 £000	P4 Forecast 2025-26 £000	Change Since Last Forecast 2025-26 £000
INCOME						
Tenant's Charges	-297,562	-303,191	-296,124	7,067	-295,439	-685
Voids	9,509	8,377	11,863	3,486	11,301	562
Homeowner Service Charges	-49,907	-42,894	-40,414	2,480	-40,736	322
Other Income	-18,671	-17,099	-17,521	-422	-17,505	-16
Total Income	-356,631	-354,807	-342,196	12,611	-342,379	183
EXPENDITURE						
Tenant Facing Services						
Repairs & Maintenance	80,819	79,851	84,911	5,060	86,480	-1,569
Landlord Services (Incl. TMO's)	58,213	59,456	59,073	-383	59,069	4
Housing Needs and Support	13,167	13,084	13,760	676	13,626	134
Customer Services	8,444	8,744	8,574	-170	8,737	-163
Southwark Construction	1,173	1,466	2,155	689	2,257	-102
Directorate	504	567	550	-17	569	-19
Total Tenant Facing Services	162,320	163,168	169,023	5,855	170,738	-1,715
Other Housing Services						
Exchequer Services	5,341	5,791	5,513	-278	6,032	-519
Home Ownership	15,267	15,896	15,894	-2	15,918	-24
Commercial Properties	2,620	2,246	2,239	-7	2,258	-19
Central Services	46,125	50,461	50,073	-388	49,448	625
Total Other Housing Services	69,353	74,394	73,719	-675	73,656	63
Financing						
Debt Financing	34,639	42,344	41,043	-1,301	42,344	-1,301
Capital Financing	86,425	72,203	65,701	-6,502	63,003	2,698
Contribution to Reserves	3,894	2,698	0	-2,698	2,698	-2,698
Total Financing	124,958	117,245	106,744	-10,501	108,045	-1,301
Total HRA	0	0	7,290	7,290	10,060	-2,770

17. Given the self-financing nature of the HRA, the maximisation of income is critical for the provision of services to tenants and homeowners. As

the table above indicates, the current forecast shows a material income shortfall against budget of £12.6m as follows:

- Application of formula rent to HRA void properties used for temporary accommodation in accordance with the 2020 Rent Standard (estimated adverse variance including routine stock movements c.£7m).
- Voids (estimated loss £3.5m), due to extended turnaround times, higher volumes and delays in letting new build stock as programme.
- Homeowner Major Works Service Charge (£2.5m), reflects a material slowdown in the major works programme impacting homeowner cost recovery. Completed schemes awaiting final approval and billing would broadly recover the budget shortfall if actioned before year-end.
- Other income (garages and commercial property) increase of £0.4m.

18. Across the HRA and specifically within the Tenant Facing Services grouping, delivery against the cash limits and savings targets is mixed, with the greatest pressure and savings requirement being in Repairs and Maintenance; and to a lesser extent Housing Needs and Support and Southwark Construction, giving rise to a cumulative overspend of £5.9m.

19. Repairs and Maintenance (including Southwark Repairs) is the area subject to the greatest financial pressure given the ever increasing maintenance needs of an ageing housing stock and the more onerous regulatory safety/compliance requirements introduced post Grenfell. Closer monitoring and review of programme spending is in place and a range of savings options have been identified and are being implemented. The latest forecast shows a £5m variance against the cash limit, £1.6m lower than previously reported. However, risks remain around the achievement of savings sufficient to deliver a neutral budget position by year-end and the position should be viewed with caution at this juncture.

20. Housing Needs and Support is forecast to be £0.7m above the cash limit. Contributory factors include additional one-off costs arising from the implementation of the council's new housing allocations policy, which are unavoidable and cannot be mitigated within the service. Additionally, savings predicated on ceasing contracts for the provision of security and catering services at hostels have been delayed and there is a potential reduction in the level of funding anticipated from Adult Social Care (ASC), which remains to be fully determined at this point.

21. Southwark Construction is forecast to be £0.7m above the cash limit. As the existing phases of the new homes programme draw to a conclusion, the scope to capitalise salary expenditure diminishes. Whilst the focus of work moves to the next stages of development, the forward pipeline and feasibility planning, these costs cannot be capitalised and fall to revenue.

Notwithstanding Government's recent announcements on funding for new housing provision and relaxation of funding restrictions, current economic conditions are not conducive to new development. It would therefore be prudent to review and align staffing requirements with expected programme activity going forward.

22. Financing and Reserves – current circumstances warrant some early strategic interventions which are incorporated at this juncture in mitigation of the budget pressures referenced above. The reduction in the planned revenue contribution to the capital programme (£6.5m) is achievable but not desirable, as it may result in additional borrowing unless programme spend reduces or other funding sources, i.e. receipts, can be generated to bridge the loss of revenue funding. Similarly, the planned deferral of the contribution to reserves (£2.7m) is not optimal and will delay progress toward rebuilding reserves to a more prudent level and ensuring greater financial resilience, which is a key objective of the HRA Recovery Plan. The reduction in debt financing costs (£1.3m) is to be welcomed and is as a direct result of substituting revenue funding in lieu of borrowing for the new homes programme in 2024-25.

GENERAL FUND (GF)

23. The forecast outturn position for the general fund was an adverse variance of £24.2m at month 4, after the utilisation of reserves. This has deteriorated to 26.2m as set out in Table 2. The Table shows the projected departmental budget outturn variances and the estimated utilisation of £10.3m in reserves.

24. The outturn position for 2024-25 was an overspend of £17.4m before the use of planned reserves and use of the general contingency. After the use of the contingency and £8.1m of planned reserves, there was an overspend of £5.3m. This required an unplanned drawdown from council reserves as demand pressures were not fully mitigated by the end of the year.

25. The financial position has continued to deteriorate in 2025–26, with a projected variance of £26.2 m, after applying £10.3 m of reserves. This trajectory demands urgent intervention to safeguard the long-term stability of the General Fund. Chief Officers remain ultimately accountable for managing and preventing budget overspends.

26. Departmental narratives highlight the key demand-led and inflationary pressures contributing to this forecast, along with the mitigating actions being implemented to reduce their impact. These mitigations will be critical in shaping the final outturn for 2025–26 and ensuring financial resilience across services.

Table 2: 2025-26 General Fund Forecast Month 6

Department	(£000's) Net Budget 2025-26	(£000's) Forecast 2025-26	(£000's) Forecast Variance 2025-26	(£000's) Reserve Movement	(£000's) Mitigating actions	(£000's) Variance Post Reserve and mitigations
Children and Adults Services	167,172	179,335	12,163	-4,763	-2,600	4,800
Integrated Health and Care	3,679	3,942	263	-250		13
Resources	63,994	65,035	1,041	0		1,041
Environment Sustainability & Leisure	110,302	111,069	767	-195	-150	422
Housing General Fund	31,287	49,669	18,382	-2,788		15,594
Governance and Assurance	31,067	32,569	1,501	-545		956
Strategy and Communities	5,561	10,632	5,071	-1,723		3,348
Support Costs Re-allocation	-43,370	-43,370	0	0	0	0
Total	**369,692**	**408,881**	**39,188**	**-10,264**	**-2,750**	**26,174**

27. The projected overspend is largely attributed to the following key variances:

- Demand pressures in temporary accommodation (TA) (Housing)
- Children's and Adults' Services experiencing significant financial pressures, as a result of rising costs across the sector, higher levels of need as residents await NHS treatment or procedures, some high-cost placements for children with very complex needs and demand for home to school transport for children with special needs.
- Delay in delivering the transformation savings due to a slow start to mobilisation of the implementation team in some programmes (Strategy and Communities).
- Overspends in 'No Recourse to Public Funds' (NRPF) budgets of £1.1m, as well as additional pressure resulting from increased activity in the community safety team £0.9m. (Environment, Sustainability and Leisure)
- Overspends in legal services of £1m (Governance and Assurance)
- Additional resources into the contact centre in Customer Exchequer to address capacity issues (Resources).

GENERAL FUND DEPARTMENTAL NARRATIVES

28. The departmental narratives for month 6 2025-26 are as follows:

- Housing General Fund (paragraphs 29- 36)
- Children and Adults Services (paragraphs 37-54)
- Integrated Health and Care (paragraphs 55-58)
- Environment, Sustainability and Leisure (paragraphs 59-69)
- Governance and Assurance (paragraphs 70-74)
- Resources (paragraphs 75-80)
- Strategy and Communities (paragraphs 81-83)
- Departmental and Transformation Savings (paragraphs 84- 88).

HOUSING – GENERAL FUND

Overview

29. The outturn forecast at month 6 shows an adverse variance of £15.6m after the planned use of £2.8m of reserves, which is predominantly due to continuing budget pressures within the homelessness service.

Housing Needs and Support:

Temporary Accommodation (TA) and Housing Needs

30. Since the beginning of the financial year, the number of homeless approaches and acceptances has remained steady and is at a lower rate than 2024-25, with the cost of accommodation showing similar stability. However, whilst this is encouraging, the situation remains fluid and subject to sudden fluctuations in key cost drivers. On the supply-side, there has been a significant rise in providers exiting the private rental market due to declining financial returns. This has led to a shift toward more expensive nightly-paid agreements, over which the council has little control if it wishes to retain supply. As a result, the service is starting the year from a much higher cost base.

31. The previous forecast (month 4) had assumed additional grant funding of £0.9m would become available to meet existing costs. However, the

grant conditions necessitate additional service provision to be put in place, which is currently being assessed. Consequently, the grant funding has been excluded from this forecast until the associated costs of provision have been fully quantified.

32. As previous reported the forecast includes an estimated £1.7m in respect of housing benefit subsidy loss arising from out of borough placements in areas where Local Housing Allowance (LHA) rates are lower than Southwark's. Given the scarcity of accommodation in borough, this is an unavoidable consequence of the subsidy regime. The impact of this has formerly been reflected within Exchequer Services division, but for improved transparency is now included within TA to illustrate the full cost of homelessness provision.

33. In mitigation of the budget position, the service is actively engaged in a widescale review of operations to strengthen early intervention and prevention measures, manage/ reduce demand, renegotiate provider agreements to obtain better charge rates and explore initiatives to increase local supply, all of which aimed at containing and reducing the cost of TA provision.

Hostel Accommodation/ Support and Housing Strategy & Partnerships

34. The council in-sourced three hostels previously run by external providers, with the housing needs and support division assuming operational and management responsibility. Assuming full occupation, rents and service charge income would broadly cover the operational running costs, however, void rates are running at a higher rate than budgeted, leading to the projected overspend. Adult Social Care (ASC) are primarily responsible for placing clients and have underwritten void losses in the past (with the exception of where properties are not available for letting), and are reviewing usage, which may potentially impact the inter-departmental funding arrangements going forward.

Asset Management - Private Sector Building Safety

35. This primary purpose of this programme is to undertake safety inspections on high rise private sector residential blocks. Enforcement action taken against landlords for non-compliance is a function that sits separately within Environment, Sustainability and Leisure (ESL). Funding for the inspection regime is through a combination of base budget and grant, with any residual funding not spent in year carried forward to a reserve to meet future programme commitments.

Central Functions

36. This activity contains centrally held budgets that are not service specific, such as corporate overheads and support service recharges. It is currently forecast to be on budget.

CHILDREN'S AND ADULTS' SERVICES

Children's and Adults' Services

37. Children's and Adults' Services is experiencing significant financial pressure as a result of rising costs across the sector, higher levels of need as residents await NHS treatment or procedures, some high-cost placements for children with very complex needs and demand for home to school transport for children with special needs. This is compounded by grant funding not rising sufficiently to meet need, and some grants ceasing or being merged but without an increase in funding to reflect inflationary pressures. If left unchecked this could result in a c.£7m deficit that would become a structural deficit going forward so action is being taken in-year to address the pressures directly. Children's and Adults' Services have departmental resilience reserves but to use these (only) and not deal with the pressures would be to leave the risk unaddressed going forward so management action is being taken and the use of some reserves will mitigate impact and aid safe transition.

38. The line of sight is very clear thanks to comprehensive and well-developed budget monitoring, complemented by detailed concurrents from each service area. The Children's and Adults' Board (CAB) is driving forward management actions and this board includes Finance and HR senior officers. For transparency and accountability, the use of departmental reserves will be reported. Cabinet Members will be updated as management actions progress and will provide political oversight.

39. The Dedicated School Grant (DSG) also continues to experience increasing demand to meet the needs of children with special education needs. The Safety Valve Agreement with the Department of Education remains on track and investment in more provision (specialist and mainstream) in-borough is progressing at pace.

Adult Social Care

40. The service is experiencing significant financial pressures in year-on-year costs especially in older people and physical disabilities services. The increased expenditure is driven by higher levels and complexity of client need, as well as higher than expected inflationary increases as a result of rising price and wage inflation (London Living Wage). The service is actively addressing these pressures through early help initiatives, reablement, maximising the use of block contracts, and regular reviews of care packages. The recent opening of the Harriet Hardy Flexicare housing provision has contributed to reducing demand for residential care placements, with a further scheme due to open at Tayo Situ Extra Care Housing. In addition, both the cost and demand for Learning Disability placements have decreased, supported by preventative services such as Positive Behavioural Support.

41. Adult Social Care has been working closely with NHS partners to deliver better health and social care outcomes for the residents of Southwark, as well as achieving better value for money through joint commissioning. Changes to the NHS in 2025 will have to be handled very carefully to ensure we can continue to work together effectively, efficiently and in the best interests of our residents.

42. Adult Social Care works very closely with Finance, HR and Integrated Commissioning colleagues and the strength and depth of these well-developed professional relationships is a key aspect of our success. We will navigate the road ahead with great care and attention, awaiting the Government’s review of the sector and what a National Care Service will mean in practice.

Children’s Services

43. The key areas of pressure are placements costs for children in care and home to school transport for children with education, health and care plans (EHCPs).

44. In Children’s Social Care the key risk area is residential care due to young people with very complex needs (including mental health needs), and the shortage of suitable placements. The service is working hard to address the lack of sufficient placements through opening two children’s homes and increasing the capacity of commissioned semi-independent accommodation providers within the borough.

45. While a significant shortage in the supply of children’s social workers is still a major challenge, across London and the country, our recruitment and retention initiatives have helped mitigate this position, to some extent. The Council’s plans for key-worker housing will, we believe, have a very positive impact and we look forward to seeing that materialise.

46. In Education Services the area of concern is home to school transport, which has seen a year-on-year increase in spend related to the increasing number of children with EHCPs.

47. The service continues to implement initiatives such as increasing the use of personal budgets for both in-borough and out-of-borough placements, this led to reduced costs per child. Nevertheless, these measures have not fully offset the overall increase in out-of-borough placements, therefore further development of in-borough Special Education Needs and Disability (SEND) provision is needed and actively being commissioned, at pace.

Dedicated School Grant

48. The ring-fenced Dedicated Schools Grant (DSG) is forecasting a near balanced position. The High Needs Block remains the main risk area for the DSG as this has seen average increased expenditure of 6% annually over the last 5 years mainly due to increased demand of EHCPs.

49. 2025-26 is the third year of the Council's Safety Valve Agreement with the Department of Education (DfE). The Council is expected to receive a total of £2.77m in additional contributions from the DfE upon successful achievement the agreed milestones/outcomes. The key aim of the agreement is to create a sustainable service with better outcomes for children as well as an in year balanced position for the DSG.

50. The borough is still affected by the falling school rolls. The scale has been dramatic across inner London with no sign of recovery. The Council is supporting schools as best we can and working with them to right size capacity with demand, sensitively and respectfully. Our focus is on ensuring all children in our borough have access to high quality education to enable them to achieve their full potential. In addition to the co-produced strategy there are clear protocols and procedures that we use to support schools in financial difficulty.

Public Health

51. The Public Health grant is a ring-fenced grant paid to Local Authorities from the Department of Health and Social Care (DHSC). It is used to provide preventative public health services to improve health and wellbeing, and to reduce health inequalities, through evidence-based interventions.

52. This includes commissioning drug and alcohol services, children's health services, sexual health services, smoking cessation, preventive cardiovascular health checks, exercise on referral and weight management services as well as gathering, analysing and interpreting information that influences the decisions made by Public Health, the wider Council and the NHS.

53. The grant also covers delivery of a policy portfolio, providing strategic advice and guidance on matters relating to health and wellbeing, from suicide prevention through to sexual & reproductive health, mental health and wellbeing, tobacco control, immunisation and screening, health protection and healthy places (regeneration, transport systems, urban planning, culture & leisure).

54. The on-going cost of living crisis is having wide-ranging negative impacts on mental and physical health, and Public Health plays a vital role in mitigating these effects. Initiatives include free targeted secondary school meals building on the very impactful free healthy primary school meal offer, and outreach health promotion activities including cancer screening and vaccinations. Targeted outreach to directly address health inequalities across some of our communities is also a key mission.

INTEGRATED HEALTH AND CARE

55. Integrated Heath and Care is forecasting a balanced financial position for 2025-26.

56. The department, the leadership of which is shared with Partnership Southwark and the South East London Integrated Care Board (ICB), commissions health and social care services for Southwark's population. The joint commissioning team is funded by both the council and the ICB and works across health and care enabling greater integration between NHS and local authority services to achieve better care outcomes as well as better value for money.

57. The Integrated commissioning unit works across the local authority and the ICB and it's organised around populations and pathways, with teams structured and commissioners holding portfolios aligned to these principles. These portfolios are as follows: Start Well, Live well, Age Well and Public Health.

58. The Quality, Performance and Transformation Unit encompasses contract monitoring, procurement, strategic programmes, and systems teams. It supports the monitoring of contracts for both children's and adults' social care providers and offers procurement guidance and assistance to commissioning teams across these services. Additionally, the unit includes systems teams responsible for managing various ICT applications used by the Children's and Adults Services department. This team is due to transfer to Technology and Digital Services during 2025-26.

ENVIRONMENT SUSTAINABILITY AND LEISURE

Overview

59. The forecast outturn for the Environment, Sustainability and Leisure (ESL) department as at month 6 is an adverse variance of £0.6m (after a net transfer from reserves of £0.2m). This is a £1.2m improvement in the month 4 position.

60. The overspend is due to the following:

- Various departmental underspends against operational budgets
- Additional income from various services (mainly Leisure).

- These are offset by overspends in ‘No Recourse to Public Funds’ (NRPF) budgets of £1.1m, as well as additional pressure resulting from increased activity in the community safety team £0.9m. These are mitigated in part from grant funding, and drawdown from reserves. Further mitigation is expected between now and year end.

61. The departmental savings target for 2025-26 totalled £5.1m of which 78% are progressing towards delivery, and 22% is expected to be mitigated from additional income and/or other mitigation measures.

Environment

62. The directorate is forecasting a favourable variance of £2.3m (£0.056m favourable variance after top-up of reserves) as at month 6 which is slightly down on month 4 position. This is due to additional income in some of its divisions, partially offset by additional costs. The directorate has additional one-off costs from ill-health retirement and will be using provisions to offset these. This position is after net transfers to reserves parking income (which has restrictions on spending).

Leisure

63. The directorate is forecasting an adverse variance of £0.4m as at month 6 (£0.5m favourable variance after drawn down from reserves) an improvement of £0.450m from the month 4 position. This is due to delayed opening of the New Canada water centre and the associated costs of decommissioning Seven Islands, as well as shortfalls in Events & arts income.

Stronger Neighbourhoods

64. The directorate is forecasting an adverse variance of £2.2m as at month 6 (down by £0.2m compared to month 4). This drops to £1.1m after applying various mitigating actions which include applying relevant grants, drawing down from reserves, and recharging relevant officer time.

65. The overspend is due to cost pressures in ‘No Recourse to Public Funds’ (NRPF) budgets of £1.1m, as well as additional pressures resulting from increased activity in the community safety team of £0.9m. While the NRPF overspend is a national trend, officers are working on additional mitigation to further reduce the pressure in 2025-26 and a focus on eliminating the pressure over a few years via an agreed action plan.

Climate Change & Sustainability

66. The directorate is reporting a small underspend after a drawdown from reserves.

Planned movement in Reserves

67. The main movements in reserves are drawdowns of £3.3m from reserves in 2025-26 to cover:

    - Various Community Safety & Neighbourhood functions including the Women's Safety Centre
    - PRS music licensing revenue costs funding from income received in advance
    - Streets for People projects
    - Various Youth services costs/grant awards
    - Cycling initiative due to reduced TFL funding
    - Canada water delays in opening, and Seven island closedown
    - Climate change Fixed Term Contact staff funding
    - Public Realm reserve for relocation of CCTV control room to Tooley Street
    - Other smaller priority projects costs.

68. The department will also be toping up the 'Highways Transformation' reserve by £3.1m (resulting in a net drawdown position of £0.2m across the department) to ensure adequate provisions are built up to deliver the council's transport related strategies, including "streets for people".

69. A comprehensive schedule of qualifying spend is being developed for the dispersal grant and this will be applied to all future drawdowns – in line with the latest guidance provided within the 2025-26 grant details.

GOVERNANCE AND ASSURANCE

Overview

70. Governance and Assurance are showing an adverse variance of £1m (after planned £0.5m drawdown from the HR transformation reserve).

71. HR, OD and Health and Safety, are collectively forecasting a planned pressure of £0.5m, which will be met through reserves. While efforts are underway to align activities within the allocated ongoing budget, transitional employee costs and specific project-related expenditure continues to be funded from reserves. The forecast also anticipates that income targets for corporate training courses will be exceeded, contributing positively to the overall position.

72. CFM is responsible for ensuring that council buildings remain safe, compliant, and fit for purpose. The service is predominantly outsourced, except for cleaning operations at Tooley Street and Queen's Road offices, which are delivered in-house. These arrangements present operational challenges, particularly in managing the Facilities Management (FM) contract to maintain performance standards and balancing the use of directly employed staff with temporary cover for cleaning services.

73. The current projection for 2025–26 indicates an unfavourable variance of £0.2m, although there is potential for improvement. Financial pressures stem from building closures that are now expected to occur in the final quarter of the financial year, despite full-year savings having been assumed during budget setting. Additional pressures include property recharges and the costs associated with managing the in-house cleaning service. Fee income is currently on track with budget expectations; however, if project delivery plans are fully realised, additional income may help mitigate the forecast variance

74. Law and Governance is currently forecasting an overspend of £0.9m for 2025-26. This is mainly driven by an overspend of £1m in legal services. Mitigating actions are being implemented, including reducing reliance on expensive external providers by maximising internal capacity and refining processes to ensure external legal advice is only sought when necessary.

RESOURCES

Overview

75. The resources department comprises of strategic and professional finance services, pensions and treasury, digital and technology services, planning and growth and customer and exchequer services. Overall, the department is projecting an adverse variance of £1m.

76. The main cost pressure in the Resources department is in the Customer and Exchequer services department (£0.8m). This is mainly due to a £1m unfavourable variance in Customer services due to staffing pressures and agency spend in the contact centre and complaints team.

77. There are high call volumes in the customer services department and additional resources have been put in place to address severe capacity shortfalls. This is being actively managed however there are dependencies on other directorates to help reduce demand for front facing services. Interim measures are being reviewed within the contact centre to help reduce expenditure. The resident services plan due to be launched will focus on reducing expenditure through digital transformation and agency staff have been transferred to fixed term contracts to ease cost pressures. The move to a new telephony platform

in April has already seen improvement in the workforce management and is expected to assist through peak pressures during winter months. There is also work underway to help offset overspends through income generation in other areas.

78. The Planning and Growth directorate is projected to breakeven over the financial year, with any underspend through the over achievement of income target to be transferred to a reserve to facilitate the smoothing of property and planning income from year to year.

79. Technology, Digital Services (TDS) is currently forecasting a balanced budget for 2025–26, following the allocation of centrally held funds for contract inflation. The service remains committed to closely monitoring its financial position and will continue to take proactive measures to manage emerging risks and ensure the effective deployment of resources.

80. PFS is currently forecasting a balanced position – an improvement from the month 4 position due to the reduction of agency costs. The Treasury team is currently forecast to overspend by £0.2m. This relates to agreed agency spend during the transition to the new treasury system and related training costs for the team.

STRATEGY AND COMMUNITIES

Overview

81. The Strategy & Communities Department is currently forecasting an overspend of £0.6m against its 'Business as Usual' (BAU) activities (£0.2m adverse movement against month 4 position). In addition, there is a £2.8m adverse variance (after £1.7m planned reserve drawings towards one-off Future Southwark resourcing spend) against the transformation programme. The overall net position is an adverse variance of £3.4m.

82. The main reason for the position is the significant delay in delivering the transformation savings due to a slow start to mobilisation of the implementation team in some programmes. However, officers are now moving at pace to establish the scale of savings and delivery is expected to be shifted to 2026-27. The transformation section of this report provides more detail. The Assistant Chief Executive is also embarking on a restructure of existing resources which aims to ensure a balanced BAU budget for 2026-27.

Planned movement in Reserves

83. The anticipated net movement in 2025-26 currently stands at £1.7m. The forecast reserves balance at the end of the year is nil. The forecast drawdowns are as follows:

- Drawdown of c£0.6m from the capacity building reserve to cover the Future Southwark activities
- Drawdown of £0.6m from the modernisation, services and operational improvement change reserve to cover the Future Southwark activities
- Drawdown of £0.5m from the Southwark 2030 Reserve to cover the Future Southwark activities.

COUNCIL SAVINGS 2025-26 and 2026-27

Departmental Savings

84. The July 2025 MTFS cabinet report, ‘RAG rated’ the departmental savings for 2025-26 and 2026-27. For those that were deemed at risk, commentary was given as to mitigating actions or replacement savings to ensure that agreed savings remained in place. Appendix A updates these RAG ratings.

Transformation Savings

85. The 2025-26 budget was predicated on the ability to save £3m through cross council transformation programmes, together with a further £7m in 2026-27.

86. In the summer 2024, the council agreed a revised approach to closing the budget gap, one focused on taking an organisation wide approach to transformation, change and savings rather than a service / departmental led approach. As a result, the Future Southwark Transformation Programme widened its scope.

87. The table below outlines the programmes expected to make savings towards the current MTFS budget gap, progress being made in each work programme towards the overall savings target (£10m) and a current assessment of the expected delivery against the in-year £3m savings target.

88. The current forecast indicates that only £0.25 million in savings will be realised in 2025–26. Without the acceleration of additional savings, this will result in an outturn budget shortfall of £2.75 million, thereby intensifying the pressure to deliver further savings in 2026–27.

Table 3: Transformation Savings 2025-26 and 2026-27

Programme Area	**Savings forecast to be achieved in 2025-26 £m**	**Savings forecast to be achieved in 2026-27 £m**	**Notes**
Corporate Real Estate	£0.720M	£1.440M	The delivery of savings related to CRE is rated as RED at this stage. A pipeline of opportunities has been identified which are presently being tested and developed into proposals. Examples include the review of advertising and storage, commercialisation of non-residential properties, a business rates review / reduction programme; the use of residential property to reduce service costs.
Procurement and third Party spend	£1.100M	£3.900M	The delivery of savings related to Procurement & 3rd Party spend is rated as RED at this stage. The programme review has commenced with a delivery partner onboarded. Initial fieldwork is underway. By the end of Q3 2025/26 a long list of pipeline opportunities will have been identified and reviewed resulting in the development of ten delivery ready business cases for agreement and delivery ahead of the new financial year.
Redesign of Business Resource, RBR (parts I & II)	£0.250M	£1.350M	The delivery of savings for RBR (Part 1) is rated as GREEN for the current year. The RBR Part 1 Programme is currently reviewing the targeted / identified savings options for delivery next year, which will require

			agreement in quarter 3 of this year to realise ahead of 2026/27. RBR Phase II is due to start imminently, as originally planned.
Subtotal	**£2.070M**	**£6.690M**	
Income Maximisation	TBC	TBC	The delivery of savings related to Income Maximisation is rated as RED at this stage. There is no target for delivery in the current year but expected to deliver financial benefit in 2026/27. The programme review has commenced with a delivery partner onboarded. Initial fieldwork is underway and a longlist of pipeline opportunities is already under review. By the end of Q3 2025/26 ten income generation opportunities (prioritised from the longlist) will have been agreed for business case development and delivery in 2026/27.
Total Budgeted	**£3.000M**	**£7.000M**	
Total RAG rated Green	**£0.250M**	**£1.350M**	

Community, equalities (including socio-economic) and health impacts

89. This report monitors expenditure on council services, compared to the planned general fund budget agreed in February 2025, and HRA budget agreed in January 2025. Although as a monitoring report, this report has been judged to have no direct impact on local people and communities, the expenditure it is reporting reflects plans designed to have an impact on local people and communities. Community impact was considered at the time the services and programmes were agreed. It is important that resources are efficiently and effectively utilised to support the council's policies and objectives.

Climate change implications

90. There are no climate change implications arising directly from this report, which provides an update on the revenue outturn for 2025-26.

Resource implications

91. This report is the revenue outturn report which details the budgetary outcomes in 2025-26.

Consultation

92. No consultation has taken place as this report details the 2025-26 revenue monitoring report for month 6.

SUPPLEMENTARY ADVICE FROM OTHER OFFICERS

Assistant Chief Executive, Governance and Assurance (NBC 20251120)

93. Section 151 of the Local Government Act 1972 requires the Council to make such arrangements for the proper administration of their financial affairs. In addition, Section 25 of the Local Government Act 2003 requires the chief finance officer to report on the robustness of the estimates made and the adequacy of the proposed financial reserves in the budget calculations.

94. Section 28 of the Local Government Act 2003 imposes a duty on the council to monitor its budgets throughout the financial year. The council must take necessary appropriate action to deal with any deterioration in the financial position revealed by the review. This report sets out the current situation regarding the general fund capital programme indicating that the costs can be contained within the current funding envelope. It also sets out the position regarding the housing investment programme.

95. Section 114 of the Local Government Finance Act 1988 requires the chief finance officer to report if there is or is likely to be unlawful expenditure or an unbalanced budget.

96. The keeping of the Housing Revenue Account (HRA) is governed by Schedule 4 of the Local Government and Housing Act 1989. On 10 November 2020, the Ministry of Housing, Communities and Local Government (MHCLG) published guidance on the operation of the ring-fenced HRA account. The guidance updated and replaced previous guidance and the Council should adhere to such guidance in relation to the HRA.

97. Section 76 of the Local Government and Housing Act 1989 requires the Council to prevent debit balances on the Housing Revenue Account. The council has a duty to maintain a balanced budget throughout the year and, accordingly, members are required to regularly monitor the council's financial position.

98. Decisions regarding the strategic aspects of the regulation and control of the council's finances are reserved to the cabinet in accordance with Part

3B of the constitution. This part refers to the cabinet having responsibility for the “council's revenue and capital budgets, including the housing revenue account, ensuring effective financial control and the achievement of value for money, within the provisions of financial standing orders. The Financial Standing Orders require the chief finance officer to report on the overall financial position of the council and on capital expenditure incurred by the council to the cabinet on a regular basis.

99. The council is required under section 149 of the Equality Act 2010 to have due regard to the need to:

- Eliminate unlawful discrimination harassment and victimisation
- Advance equality of opportunity between people who share protected characteristics and those who do not
- Foster good relations between people who share protected characteristics and those who do not.

100. Cabinet needs to take account of this duty in considering this report.

101. The Community, equalities (including socio-economic) and health impacts section above indicates that whilst this report has been judged to have no direct impact on local people and communities, the expenditure it is reporting reflects plans designed to have an impact on local people and communities.

102. The public sector equality duty is a continuing duty and will need to be taken account of in any processes to mitigate budget pressures.

BACKGROUND DOCUMENTS

Background Papers	Held At	Contact
None.		

APPENDICES

No.	Title
Appendix A	Departmental Savings

AUDIT TRAIL

Cabinet Member	Councillor Stephanie Cryan, Cabinet Member for Equalities Democracy and Finance	
Lead officer	Clive Palfreyman, Strategic Director of Resources	
Report author	Tim Jones, Director of Corporate Finance	
Version	Final	
Dated	20 November 2025	
Key Decision?	Yes	
CONSULTATION WITH OTHER OFFICERS / DIRECTORATES / CABINET MEMBER		
Officer Title	**Comments Sought**	**Comments included**
Assistant Chief Executive, Governance and Assurance	Yes	Yes
Strategic Director for Resources	N/a	N/a
Cabinet Member	Yes	Yes
Date final report sent to Constitutional Team		20 November 2025